

ADP Non-Farm Employment Change – May 2026

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ABSTRACT

This analysis reviews May 2026 U.S. private-sector employment data from the ADP National Employment Report. Total private employment increased by 124,000 jobs month-over-month, indicating continued labor market expansion relative to April's 109,000 gain. However, the composition of job creation suggests uneven underlying momentum across firm sizes and industries. Employment gains were concentrated in small firms, which accounted for roughly half of total job creation, while medium-sized firms showed improvement and large firms remained relatively stable. Sectorally, growth was primarily driven by the services sector, while goods-producing industries exhibited slower momentum, particularly in natural resources, construction, and manufacturing. Overall, the data indicates a labor market that remains expansionary but increasingly service-driven and uneven across cyclical segments, with signs of moderation in traditionally capital-intensive industries and more resilient contributions from smaller firms and service-oriented employment categories.

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²Employment changes

Establishment

Table 2: Additions & Subtractions in jobs relative to Establishment Size

Establishment size	May 2026	% of Total Hiring*	April 2026	MoM Change
Total Small (1-49 Employees)	+67,000	54.03%	+65,000	+2,000
Total Medium (50-499 Employees)	+17,000	13.71%	+2,000	+15,000
Large (500+ Employees)	+40,000	32.26%	+42,000	-2,000
TOTAL ADP Private Employment Change	124,000	100%	109,000	+15,000

Composition

Total ADP Private Employment increased by +15,000 jobs MoM, totaling to 124,000 jobs added. Small firms reportedly added +67,000 jobs (+2,000 MoM), accounting for 54.03% of total ADP Private Employment gains. Medium firms reportedly added +17,000 jobs (+15,000 MoM), accounting for 13.71% of total ADP Private Employment gains. Large firms reportedly added +40,000 jobs (-2,000 MoM), accounting for 32.26% of total ADP Private Employment gains.

Sector & Industry

Table 3: Additions & Subtractions in jobs relative to Goods

Goods			
Industry	May 26'	April 26'	MoM Change
Natural resources and mining	-3,000	+3,000	-6,000
Construction	+8,000	+10,000	-2,000
Manufacturing	+3,000	+2,000	+1,000
Total	+8,000	+15,000	-7,000

² Figures are estimated net private-sector payroll changes; totals may not sum exactly due to rounding. MoM changes compare May vs April 2026. Positive values = job gains; negative values = job losses. Seasonally adjusted.

Composition

The Goods sector added approximately 8,000 jobs in May, a deceleration of 7,000 jobs from April's 15,000 gain. Natural Resources & Mining shed 3,000 jobs in May, a decline of 6,000 jobs from April's 3,000 increase. Construction added 8,000 jobs in May, a decrease of 2,000 jobs from April's 10,000 job gain. Manufacturing added 3,000 jobs in May, an increase of 1,000 jobs from April's 2,000 job gain.

Table 3: Additions & Subtractions in jobs relative to Goods

Services			
Industry	May 26'	April 26'	MoM Change
Trade, transportation, and utilities	+36,000	+25,000	+11,000
Information	-9,000	+4,000	-13,000
Financial activities	+7,000	+9,000	-2,000
Professional and business services	+11,000	-8,000	+19,000
Education and health services	+57,000	+61,000	-4,000
Leisure and hospitality	+8,000	+4,000	+4,000
Other services	+4,000	+1,000	+3,000
Total	+114,000	+96,000	+18,000

Composition

The Services sector added approximately 114,000 jobs in May, an increase of 18,000 jobs from April's 96,000 gain. Trade, Transportation, & Utilities added 36,000 jobs in May, an increase of 11,000 from April's 25,000-job gain. Information shed 9,000 jobs in May, a decline of 13,000 from April's 4,000-job gain. Financial Activities added 7,000 jobs in May, a decrease of 2,000 jobs from April's 9,000-job gain. Professional & Business Services added 11,000 jobs in May, an acceleration of 19,000 jobs from April's 8,000-job loss. Education & Health Services added 57,000 jobs in May, a loss of 4,000 jobs from April's 61,000-job gain. Leisure & Hospitality added 8,000 jobs in May, an increase of 4,000 jobs from April's 4,000-job gain. Other services added 4,000 jobs in May, an addition of 3,000 jobs from April's 1,000-job gain.

³Interpretation

Latest private employment data shows continued job growth, but underlying data suggests the labor market is expanding at a moderate pace while losing its earlier cyclical strength. Total Private Employment rose 124,000 MoM, an increase of 15,000 from April's 96,000-job gain. On paper, this reflects steady expansion over decay. However, the data shows uneven gains across sectors & firms, with growth concentrated in smaller firms and services.

With an addition of 67,000 jobs, small firms contributed to roughly 54% of total job gains. Suggesting the hiring strength shown is concentrated in the more flexible and low capital businesses; which typically respond quickly to short-term demand conditions. While the significant growth small firms represent indicate resilience, it also represents insufficiencies. Small firm hiring is more volatile and less durable than medium and large firms. This is due to their limited financial resources and susceptibility to economic changes. With 17,000 jobs gained Medium-sized Firms showed notable acceleration along with smaller firms, adding 2,000 jobs MoM. Providing a constructive signal, as medium-sized firms provide more stable and scalable employment growth. Large firms added 40,000 jobs in May, a decline of 2,000 compared to April's 42,000-job gain. Suggesting the large firm hiring appetite is stabilizing over accelerating.

Sectorally, goods slowed adding 8,000 jobs in May versus 15,000 jobs in April. While weakness was apparent in the sector, Natural Resources & Mining contributed to the majority of losses. With a decline of 3,000 jobs in May, 6,000 less than April's gain of 3,000.

With an addition of 114,000 jobs in May, Services remained the primary driver of employment growth with an increase of 18,000 jobs from April's gain of 96,000 jobs. Gains were led by trade, transportation, and utilities, while education and health services remained the largest contributor regardless of slowed growth. Professional and business services reversed from weakness into solid gains in May, signaling heightened demand for the industry. Offsetting this strength, information and financial activities remained weak, with continual pressure within rate sensitive sectors.

³ This section reflects the author's interpretation of ADP National Employment Report data (May 2026) and is not official commentary from ADP. Figures are based on estimated net changes in U.S. private-sector payroll employment. MoM comparisons reflect May vs April 2026. Minor discrepancies may exist due to rounding across subcomponents. All conclusions regarding labor market strength, sector rotation, and firm-size dynamics are analytical inferences drawn from the reported data.

Reference list

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